

An ETF also tracks an index like the Sensex but lists its units on a stock exchange, unlike a mutual fund. To buy and sell mutual funds you don't need to have a demat account. But to invest in an ETF, you need a demat account. The other difference in index funds and ETFs is that you can buy an index fund at a price at the end of the day, but you can buy an ETF at any point in the day. This difference in price is not relevant to retail investors like us.

ETFs come with tiny costs compared to the index funds. The average index fund costs between ten basis points to 1 per cent, or ten paise to Rs 10 on every Rs 1,000 invested. ETF costs have hit rock bottom and you can now buy them at a price as low as three basis points.

I prefer to stay with index funds for the moment, because the liquidity in the ETFs may not be that good. This means that when you go to sell a large quantity, you may not get the current market price. Remember that things keep changing in the markets and you need to be up to date. If you can't – find a financial planner.

Since there can be any number of indices in a market – broad market index, mid-cap index, small-cap index, technology index, PSU index, and so on – there can be any number of index funds. Remember that the risk of the index fund you buy will be the risk of the index fund category you buy into. So the risk of a mid-cap index fund is much higher than the risk involved with a Sensex or Nifty fund.

Another way to classify equity mutual funds is by looking at them through the lens of market cap. At the very basic level there are three kinds of equity funds – large-cap, mid-cap and small-cap funds.

Large-cap funds are more mature and stable, since they invest in the larger companies that are listed in the stock market. A mid-cap fund invests in stocks of mid-sized firms. Small-caps are funds that focus on small companies. Small- and mid-cap stocks are the engines of growth in a portfolio.

These are usually aggressive high-growth firms. The returns from small- and mid-cap firms are much higher than those from large-cap ones, but this possible higher return comes with higher risk. When markets fall, it is the small- and mid-cap stocks that fall harder than the large-cap stocks.